DAILY BRIEF - Monday 18 May 2026

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1. HEADLINE OF THE DAY

*Iran war sends oil and yields soaring: bonds sell off violently, gold corrects sharply, and the dollar strengthens.** Brent breaks above $111 (+5.2% in a week), US 30Y hits a 3-year high at 5.13%, gold corrects -3.1% to $4,550, and the DXY rebounds strongly to 99.3. The market is now pricing fewer Fed rate cuts in 2026. The Trump-Xi summit produced a trade framework but resolved nothing fundamental. The Fed enters its blackout week ahead of Wednesday's decision.

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2. GLOBAL SENTIMENT

Indicator	Level	Change	Trend
VIX	18.43	+0.27%	Neutral-slightly bearish
DXY	99.30	+0.83%	Strong dollar
Gold	$4,550	-3.15%	Violent correction
US 10Y	4.60%	+4.20bp	Yields surging
US 30Y	5.13%	+2.85bp	3-year high
S&P 500	7,408	+0.13%	Stabilizing after Friday
NASDAQ	26,225	-0.08%	Slight pressure
WTI	$102.89	+1.85%	Oil rising
Brent	$111.08	+5.16%	Explosive rally
BTC	$76,916	-5.10%	Significant correction
Copper	$6.25	-5.83%	Collapsing
Silver	$75.78	-14.75%	Crash

*Fear & Greed Index: 28 (Fear)** - down from 1 three days ago.

*Read:** The market is in "inflation fear" mode. Everything yield-sensitive is suffering. Gold, paradoxically, is correcting despite its safe-haven status because real yields are exploding. Copper is collapsing on Chinese growth fears. Silver crashes (-14.7%) - a violent technical move after the parabolic rally. Oil is the big geopolitical winner right now.

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3. MACRO - WHAT MOVED

UNITED STATES

Yields skyrocketing: 30Y at 5.13% (highest in ~3 years), 10Y at 4.60%, 5Y at 4.26%. The curve is steepening - the market is pricing fewer Fed cuts.

Fed Blackout Week: FOMC decision on Wednesday. Clarida (ex-Vice Chair) says the FOMC will likely not adjust rates at upcoming meetings. Paul Tudor Jones says "no chance" Warsh gets cuts.

New Fed Chair: Kevin Warsh confirmed by the Senate. Stephen Miran resigns and endorses Warsh. Miran was the dissenter - his departure reduces hawkish dissent.

Bessent (Treasury Sec): Anticipates "substantial disinflation" after 1-2 more hot inflation prints.

S&P 500: Friday -1.2% (worst day since March), stabilizing Monday at 7,408. The rally from year-to-date lows (above 7,500 Thursday) is broken.

Berkshire Hathaway: Returns to airlines with a $2.6B stake in Delta.

EUROPE

Germany: Unemployment exceeds 3 million for the first time in 15 years. Shift from labor shortage to hiring freeze.

UK: "Italianization" of British finances according to FT. Investors worried about political flip-flops and the fiscal deficit. GBP/USD at 1.3325 (-2.06%).

Spain: Vox becomes kingmaker after Sánchez's defeat in Andalusia.

EU: Plans to force companies to buy components outside China (chemicals, industrial machinery).

European refiners: Confident in their ability to avoid jet fuel shortages despite the Gulf crisis.

CHINA
Disappointing April data: Retail sales +0.2% y/y (consensus 2%) - weakest since 2022. Industrial production +4.1% y/y (consensus 5.9%).
Official warning: China warns of "severe global conditions."
Trump-Xi Summit: Agreement on a "board of trade" and $17B/year of US agricultural products. "Stability" measures but no fundamental resolution.
USD/CNH: Falling to levels not seen since February 2023.

JAPAN
Takaichi (Finance Minister): Calls for a supplementary budget following the Middle East shock.
Japanese bond yields: Sharply higher - the market fears fiscal deterioration. Carlyle Japan expects 2 BOJ rate hikes this year.
Weak yen: USD/JPY at 158.93 (+1.08%).

EMERGING MARKETS
Thailand: Surprising growth despite warnings about the war's impact.
Philippines: Sara Duterte's trial opens a new phase of political turmoil.

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4. GEOPOLITICS

HOT
Iran war / Strait of Hormuz: Trump issues an ultimatum - "the clock is ticking, move fast" - after a new peace proposal. Analysts predict a likely return to war. The Strait of Hormuz remains partially blocked.
Oil: Brent at $111 (+5.2% in a week). CNBC reports global oil stocks could hit record lows if Hormuz stays closed. G7 finance ministers meeting on the topic.
Mine clearance: Companies preparing autonomous ships to demine the Gulf.
BFC (Burgum, Interior Sec): No Congressional approval needed to resume strikes according to Hegseth.

WATCH
Trump-Xi: The summit produced a trade framework but structural tensions remain. China accepts $17B/year of US agricultural products.
EU-China: EU planning rules forcing purchases outside China. Rare earth magnets - US military contractors request a delay on the Chinese rare earth ban.
Defense: Budgets rising everywhere given the geopolitical context.

POSITIVE
Middle East investment: Asset managers and hedge funds remain engaged in the region despite disruptions.
Anthropic x FSB: Anthropic briefs the Financial Stability Board on cyber vulnerabilities exposed by Mythos - AI regulation advancing.

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5. FX FOCUS

Pair	Level	Change	Trend
EUR/USD	1.1625	-1.32%	Dollar strong, euro weak
GBP/USD	1.3325	-2.06%	Pound crushed
USD/JPY	158.93	+1.08%	Yen weak
USD/CHF	0.7868	+1.11%	Franc under pressure

*Analysis:**
Dollar king: DXY at 99.3 (+0.83%) benefiting from flight to quality and high US yields. All major pairs are in "short EUR/GBP, long USD" mode.
Pound in crisis: GBP/USD -2.06% - the "italianization" of UK finances weighs. Starmer under internal Labour pressure.
Weak euro: Europe suffers in comparison to the US (yields, growth). EUR/USD breaks below 1.17.
Yen: USD/JPY toward 159 - the BOJ is the global outlier with its still-accommodative policy. JPY carry trade remains active but JP yields are rising.

*Pair to watch: GBP/USD** - If Starmer loses political control, we could see 1.30 quickly. The UK spread is widening.

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6. COMMODITIES

Oil
WTI: $102.89 (+1.85%) | **Brent: $111.08** (+5.16%)
Brent in explosion mode - the risk of a prolonged Strait of Hormuz closure is the main driver.
European and airline refiners confident in their ability to avoid jet fuel shortages (US and Africa imports).
US Oil Rig Count rising.
Vaca Muerta (Argentina) emerges as an alternative to Middle East risk.

Gold
$4,550 (-3.15%) - Violent correction.
Paradox: gold corrects despite tense geopolitics. The reason = real yields are exploding (30Y at 5.13%). The opportunity cost of holding gold is enormous.
Goldman: Central banks will intensify gold purchases, supporting prices.
JP Morgan maintains its $6,000 target for gold in 2H26.
Investors are betting on a gold crash (short positions increasing).

Silver/Copper ?
Silver: $75.78 (-14.75%) - CRASH. Technical profit-taking after the parabolic rally.
Copper: $6.25 (-5.83%) - Collapsing on weak Chinese data (retail sales +0.2%, industrial production +4.1%). Copper = global barometer of global growth. It's saying things are bad.

Soft
US-China: agreement on $17B/year of agricultural products. Potential upside for soybeans, corn.
No major climate disruptions reported this week.

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7. AGENDA - Monday 18 May

Time (CET)	Country	Event	Consensus	Previous	Impact
08:00	Spain	Trade Balance (Mar)	-	-3.3BEUR	?
14:30	US	Empire State Manufacturing (Ma	-	-	?
-	-	**FOMC Blackout begins**	-	-	
-	-	**G7 Finance Ministers call**	-	-	

*This week:**
Wednesday 20 May: FOMC Decision + Press Conference (Powell's last)
Thursday 21 May: Flash PMI (US, EU, UK) - key data
Friday 22 May: US Durable Goods Orders

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8. DEEP MACRO THEME OF THE DAY

"The market is discovering that inflation isn't dead - it was sleeping"

The dominant narrative since January was "disinflation, soft landing, Fed cuts in 2026." This narrative is cracking.

The Iran war triggered a +20% oil shock in one week (Brent from $105 to $111). This shock feeds directly into inflation via energy, transport, and inflation expectations. The 30Y at 5.13% says the market no longer believes inflation will return to 2%.

The gold paradox is revealing: normally, gold rises during geopolitical crises. Here, it corrects -3% because real yields have become too attractive. This is a regime change.

*The real risk:** if oil stays above $100 for several weeks, US inflation could reaccelerate in June/July. The Fed would then be forced to keep rates high, or even tighten. This is the nightmare scenario for equities and credit.

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9. CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:
Fed hold Wednesday ? Consensus correct, no move expected
1-2 Fed cuts in 2026 ? Less and less certain. The market is reducing cut probabilities.
Temporary oil spike ? The market assumes the conflict will resolve quickly. If not, oil could go much higher.
Gold = safe haven ? WRONG in this regime. Gold is behaving like a rate asset, not a safe haven. Real yields dominate.
China recovery ? April data (retail sales +0.2%, IP +4.1%) contradicts the recovery narrative. China is exporting its deflation.
US soft landing ? Still the base case, but the oil shock complicates things.

The alpha:
1. **Short copper / long oil** - Copper says global growth is weakening, oil says inflation is coming back. This divergence is a trade.
2. **Long USD / short GBP** - The "italianization" of the UK is a structural theme. GBP/USD toward 1.30.
3. **Short duration (short bonds)** - Yields can still rise if oil stays elevated. 30Y at 5.5% is not impossible.
4. **Gold: wait for the bottom** - Gold is correcting but central banks are buying. Buy the dip toward $4,400-4,500.

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10. ANALYSIS

Monday morning, the market is in a rare state: **everything that was a "consensus long" is under simultaneous pressure.**

Bonds are selling, gold is correcting, copper is collapsing, oil is exploding, the dollar is strengthening, and equities are stagnating. This is a "real yield dominance" regime - US real yields have become the primary driver of all assets.

My conviction this week: **oil is king.** Everything else follows. If Brent stays above $105, yields continue to rise, gold remains under pressure, and equities correct. If the conflict resolves and oil drops below $95, the entire narrative flips.

*The trade of the week: watch Brent.** It's the pivot. Above $110 = heightened risk-off. Below $100 = relief rally.

The Fed on Wednesday won't move, but the language will be crucial. If Powell/Warsh signal rates will stay higher for longer than expected, that's a bearish catalyst for risk assets.

*Positioning:** Defensive. Reduce long-duration exposure. Overweight the dollar. Wait on gold. Copper is a short as long as China doesn't show a real recovery.

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11. SOURCES CONSULTED

Yahoo Finance API (real-time market data)
Financial Juice Daily Dose (18 May 2026)
FT RSS (Home + Markets)
Bloomberg RSS (Markets + Economics)
CNBC (World, Fed, Oil, Gold)
ForexLive
Trading Economics
OilPrice.com
ZeroHedge
Alternative.me (Fear & Greed Index)
Polymarket

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